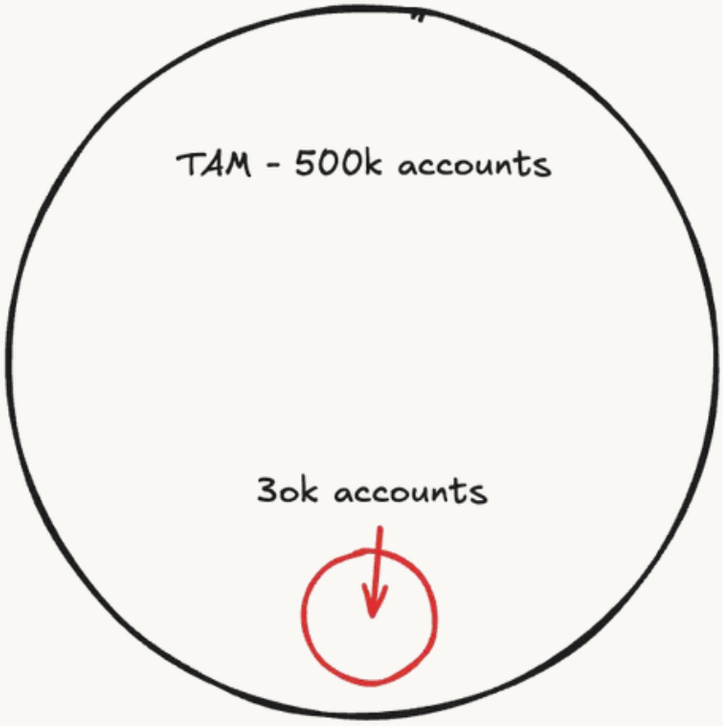


5 steps to build

Your ICP

Complete Recipe

Outbound fails because teams target the wrong accounts.

This leads to wasted time on bad-fit prospects, low conversion rates, and customers who churn quickly.

Here's my **5-step process** to fix that and build a precise ICP using data, not gut feelings:

When you nail your ICP, outbound and everything else works better.

Step 1 - Start with Customer Data

You can't build an ICP without looking at your customers first.

Pull your current customers and answer these questions:

- Who are your best customers? (highest ACV, high win rate, lowest churn, fastest sales cycles)
- Who are your worst customers? (lowest win rate, highest churn, most support tickets)
- What patterns do you see in each group?

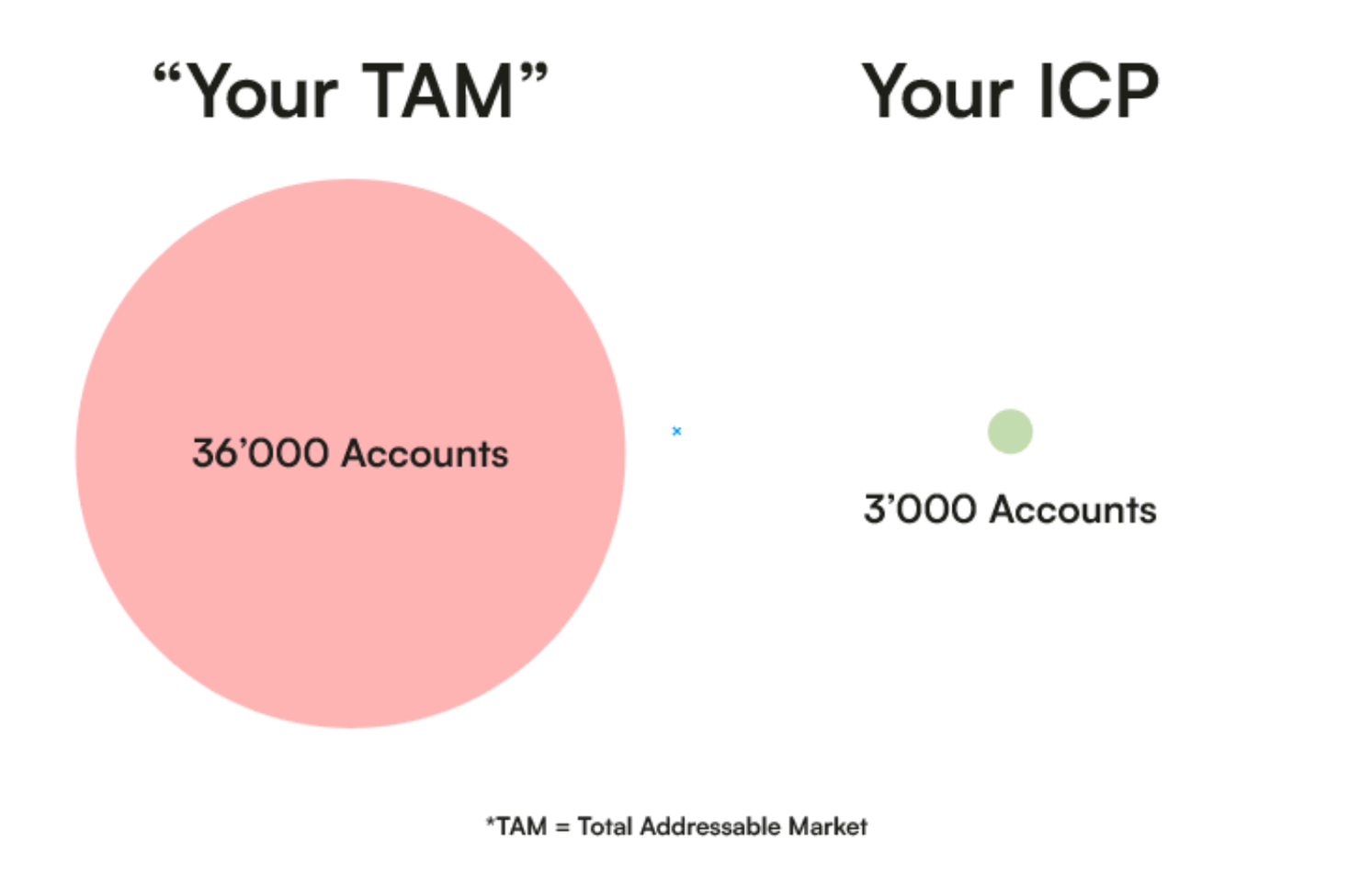
Pull your current customers and answer these questions:

- Who are your best customers? (highest ACV, high win rate, lowest churn, fastest sales cycles)
- Who are your worst customers? (lowest win rate, highest churn, most support tickets)
- What patterns do you see in each group?

Look for basic data in your CRM:

- Industry/sub-industry
- Team sizes
- Revenue/growth rate
- Tech stack they use
- Common pain points they mention

Your TAM might be 36,000 companies, but your actual ICP is probably closer to 3,000.



Step 2 - Identify & Prioritize Customer Pain Points

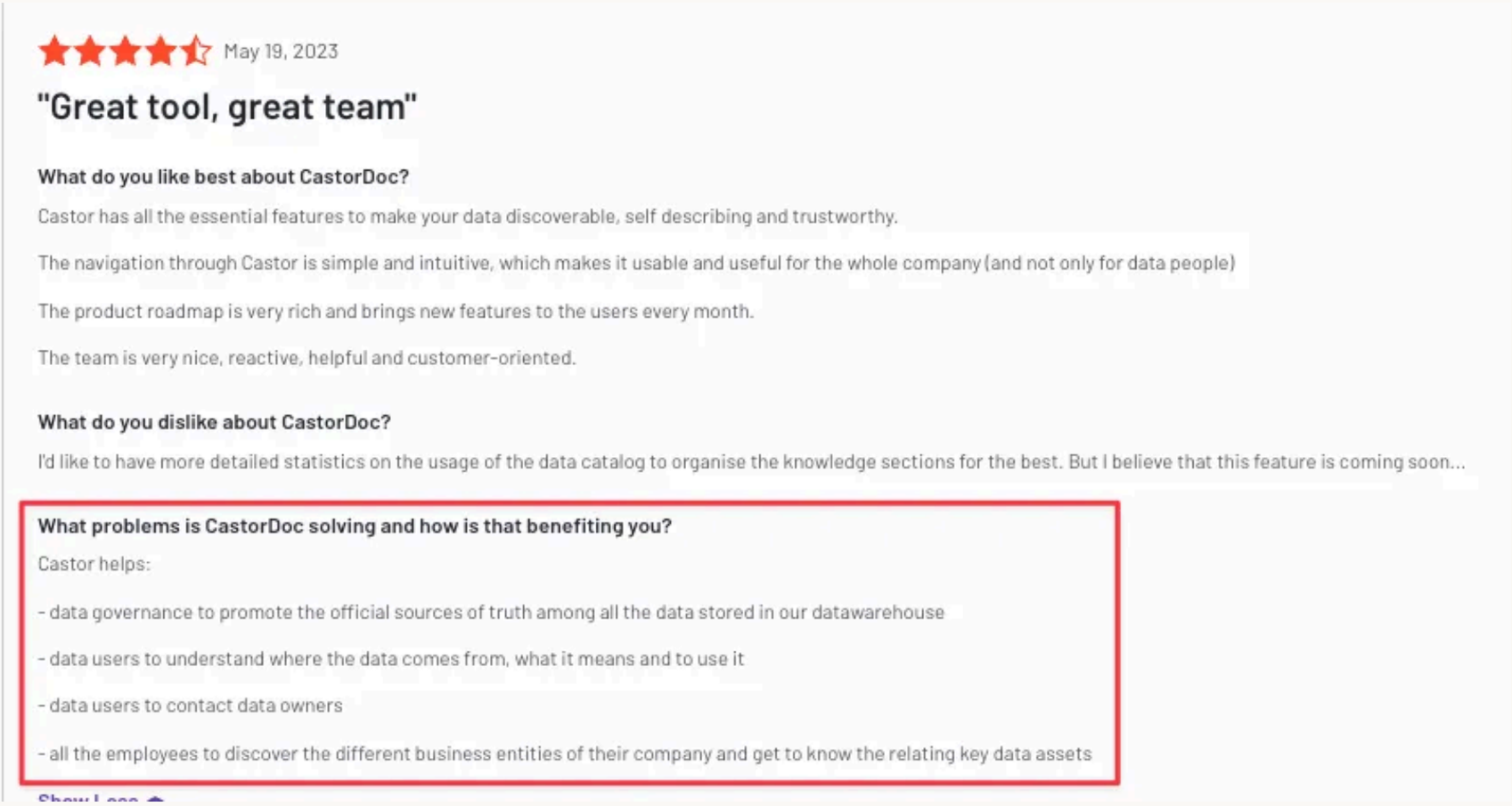
This is where most companies mess up.

They don't tie the problems their product solves to their ICP, and the impact on their business.

Clearly understand the problem you actually solve.

Here's how to dig into pain points:

- Read through customer interviews and call recordings
- Check G2 reviews for problems customers mention
- List all the problems customers mention
- Score each problem based on business impact, financial impact, time savings, and risk reduction



May 19, 2023

"Great tool, great team"

What do you like best about CastorDoc?

Castor has all the essential features to make your data discoverable, self describing and trustworthy.

The navigation through Castor is simple and intuitive, which makes it usable and useful for the whole company (and not only for data people)

The product roadmap is very rich and brings new features to the users every month.

The team is very nice, reactive, helpful and customer-oriented.

What do you dislike about CastorDoc?

I'd like to have more detailed statistics on the usage of the data catalog to organise the knowledge sections for the best. But I believe that this feature is coming soon...

What problems is CastorDoc solving and how is that benefiting you?

Castor helps:

- data governance to promote the official sources of truth among all the data stored in our datawarehouse

- data users to understand where the data comes from, what it means and to use it

- data users to contact data owners

- all the employees to discover the different business entities of their company and get to know the relating key data assets

Create a Pain Point Prioritization Matrix.

Rank pain points from highest to lowest impact based on frequency mentioned and potential value delivered.

Pain Points Identification	Relevant CastorDoc Features	Quantified Impact	Customer Validation & Quotes	Before vs. After Scenario
Excessive time spent searching for data	AI-powered natural language search, Data Discovery	Time savings: Reduces search from 45 minutes to seconds [1]	"Before using CastorDoc, it took us 45 minutes to discover the data we needed. Now, with CastorDoc, we can find the same information in just seconds." [1]	**Before:** Analysts waste 45 minutes per query searching for data. **After:** Analysts find data instantly, significantly increasing productivity.

Final Ranked Matrix:

Pain Points Ranked by Priority:

- Excessive time spent searching for data (**Score: 9.1**)
- Manual & inefficient documentation processes (**Score: 8.1**)
- Difficulty managing unclear dependencies (**Score: 8.1**)
- Slow onboarding process for new employees (**Score: 7.4**)
- Unclear definitions causing repeated questions (**Score: 7**)
- Lack of trust in data quality (**Score: 6.7**)

Step 3 - Find Additional Data Points

Industry, headcount, revenue are table stakes.

But they won't help you find your real ICP.

The best outbound teams go deeper with 10-20 data points to spot the best accounts (tied to pain points).

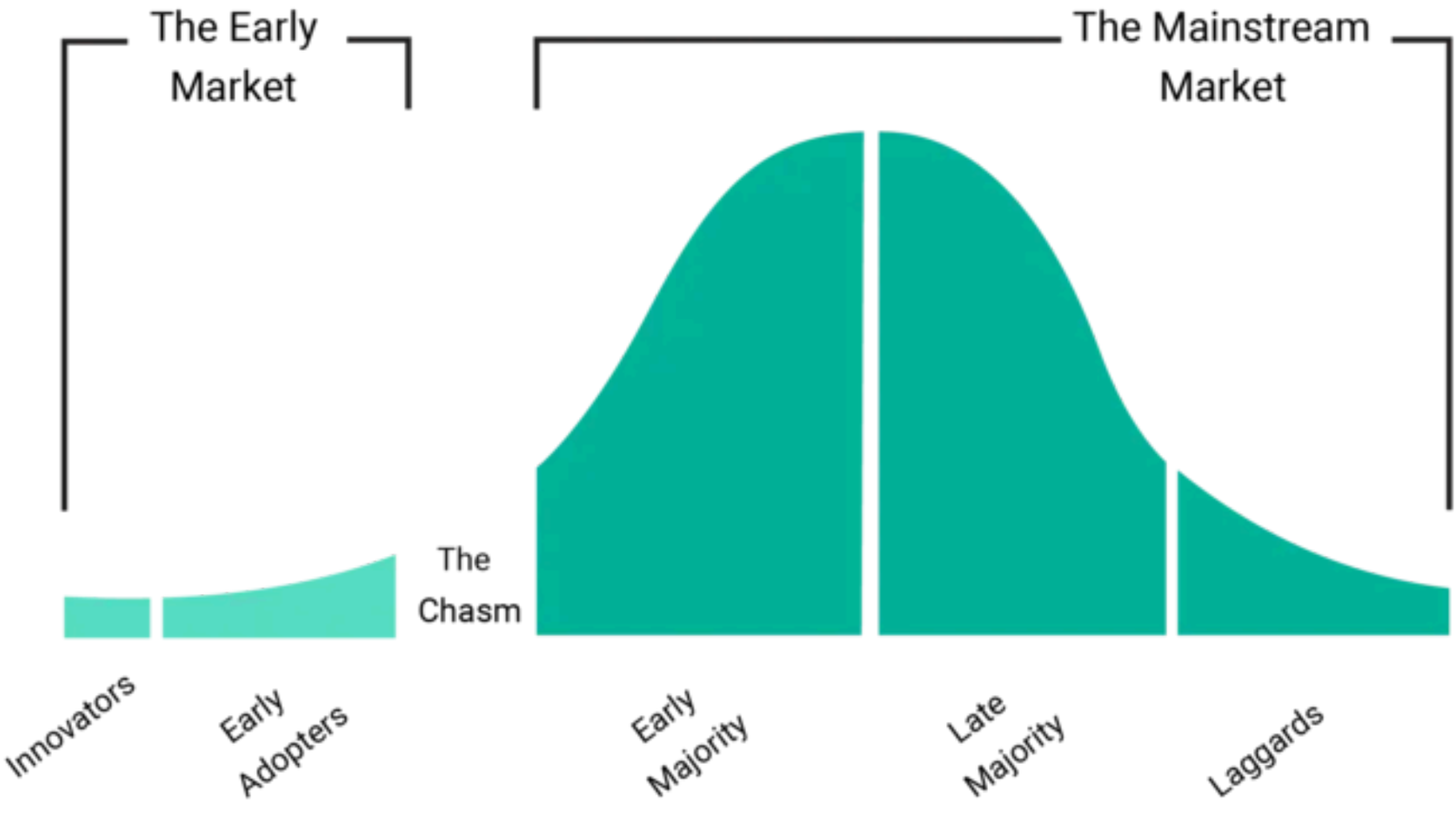
I call them: the Digital Breadcrumbs.

Digital Breadcrumbs to consider:

- Technographics: What tools do they use? Check BuiltWith, job postings, website mentions
- Digital Footprint: Website traffic, social presence, content engagement, online reviews
- Public databases (permits, licenses)
- Annual reports, earning calls
- Behavioral Signals: Recent funding, growth indicators, hiring patterns
- Physical details (roof size, square footage)
- Office locations, number of offices
- Area: density?
- Number and growth of end-users
- Early adopters vs laggards

How to spot the laggards:

- Outdated website tech.
- Weak online presence or using dead social media platforms.
- Clinging to legacy systems long after everyone else has moved on.



Step 4 - Identify Micro-Segments Within Your Market

Most beginners stop at broad categories like "SaaS companies."

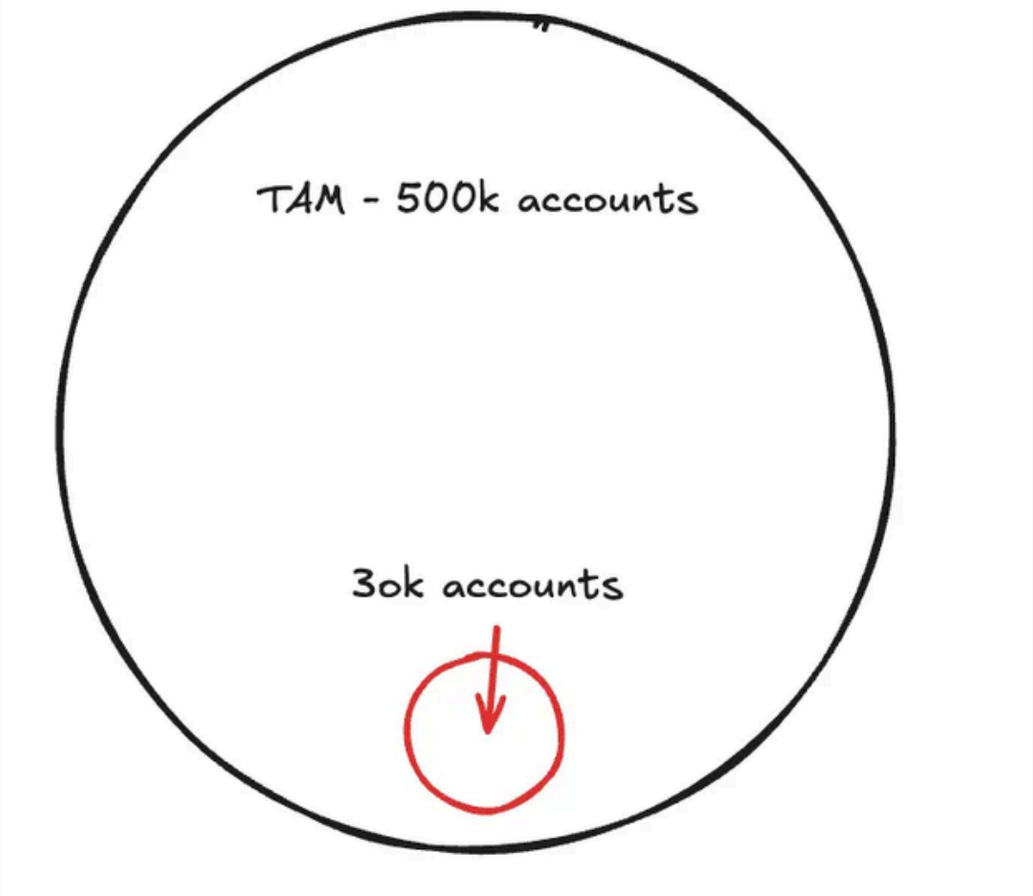
Instead, break your market into meaningful micro-segments of 100-200 companies with the highest pain you can solve, right now.

Example: for SaaS companies, ask:

- What type of products are they selling and to whom? CFOs? CISOs?
- How big is their GTM team? (1 person vs 1000-person team has different needs)
- What's their sales motion? (SMB vs Mid-Market vs Enterprise)
- Are they early adopters of new technologies?

Example: Owner.com 2 predictive scoring models one for win rate, one for potential ACV

This let them target the top 30,000 restaurants most likely to succeed, rather than all 500,000 in their database.



Step 5 - Build Your First Focused Account List

Start with a small, highly targeted list.

Steps to build your first list:

- Focus only on your top micro-segment
- Aim for 100-200 accounts maximum
- Use tools like Clay, Apollo, or LinkedIn Sales Navigator
- Validate with your SDRs and AEs
- Add custom fields to track your targeting hypotheses

Example: Rippling's CRO laser-focused on small, fast-growing YC-backed startups.

Why?

These companies were growing fast and buying tools, plus he could use YC investors for portfolio intros.

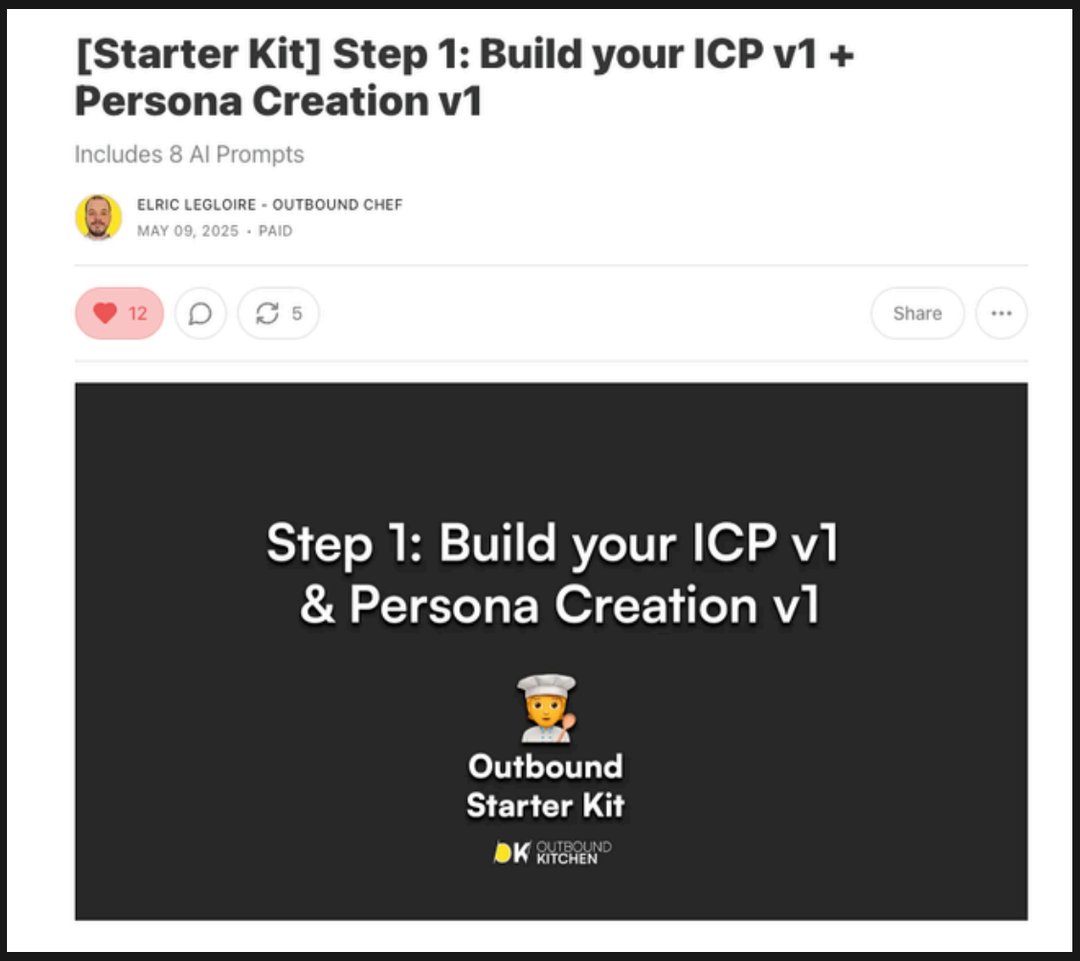
Remember:

It's better to succeed with a small, targeted list than fail with a massive one.

Want to do this quicker?

I've created AI prompts for each step that help you:

- Analyze customer data for patterns
- Extract pain points from reviews
- Find external data points
- Build micro-segments
- Generate target account lists

Get access to all 5 AI prompts in my paid newsletter.

Link in comments 👇